

contractor in the world (using 2011 defence revenues) and the largest in Japan, although it produces a wide range of products. These include aerospace components, aircraft, forklifts, machine tools, missiles, printing machines and space launch vehicles.

MHI Vestas' goal is to provide the world with reliable and sustainable energy solutions at industry scale. Its mission is to co-develop offshore wind as an economically viable and sustainable energy resource to benefit future generations. It hopes to achieve this by driving down the cost of energy and through sustainable wind turbine technology, project management, offshore experience and powerful partnerships.

MHI Vestas Offshore Wind has proven itself successful both through its increased market share and by its production of the first double-digit wind turbine to become commercially available, the V164-10.0MW. The V164 was built using lessons and technology taken from previous versions of the platform and provides reliability for its customers. More than 100 of these turbines have been installed in Germany and the UK, and the company has been able to move the flexible platform of the V164 from its original 8MW design to 10MW using incremental innovations and technological learnings.

'What was unreachable before has become the new benchmark', said MHI Vestas CEO, Philippe Kavafyan. 'In launching the V164-10.0 MW today, MHI Vestas is proud to contribute this major milestone to the offshore wind industry. And it gives us the opportunity to pay tribute to all the wind industry pioneers who have led us to this historic, double-digit nominal capacity.' MHI Vestas Chief Technology Officer, Torben Hvid Larsen, said:

At MHI Vestas, we are focused not on what others are doing, but being the best at what we do. The V164-10.0 MW turbine is the best proof point yet that we do not accept the limitations of conventional thinking and that we think beyond ourselves. We have embraced the challenge of transforming what is possible in our field.

Sources: www.dropsonline.org/members/list/mhi-vestas-offshore-wind/; www.mhivestasoffshore.com/mhi-vestas-launches-the-first-10-mw-wind-turbine-in-history/; www.jut.dk/en/news/new-agreement-with-mhi-vestas-offshore-wind/; www.lpo.dk/wp-content/uploads/2018/11/MHI-Vestas-LPO-PRESS-RELEASE-ENGLISH.pdf; en.wikipedia.org/wiki/Mitsubishi_Heavy_Industries; en.wikipedia.org/wiki/Vestas.

Institutionalism

The institutional perspective provides yet another view of interorganizational relationships.⁹⁴ Just as companies need efficient production to survive, the institutional view argues that organizations need legitimacy from their stakeholders. The **institutional perspective** describes how organizations survive and succeed through ensuring congruence between an organization and the expectations from its environment, comprising norms and values from stakeholders (customers, investors, associations, boards, government, collaborating organizations). The **institutional environment** reflects what the greater society views as correct ways of organizing and behaving or it risks legitimacy and its social licence to exist.⁹⁵

Legitimacy is gained when the activities of an organization are considered proper and appropriate within the environment's system of norms, values and beliefs.⁹⁶ Institutional theory points to the importance of intangible norms and values that shape behaviour, as opposed to more tangible elements such as technology. For example, people will not deposit money in a bank unless it sends signals of compliance with norms of wise financial management. Local government encounters resistance to tax increases for funding upgraded refuse collection if residents object to aspects of the new programme.

Most organizations are concerned with legitimacy, as reflected in the various national and international surveys that rank corporations based on their reputations.^{97, 98} Many corporations actively shape and manage their reputations to increase their competitive advantage, and managers are searching for new ways to bolster legitimacy in the wake of ethical and financial scandals at such well-known companies as Siemens, Enron, MAN Trucks and Parmalat. Despite globalization

and the presence of worldwide brands like Nike and Coca-Cola, national brands still tend to stand out at both the top and bottom of the rankings. Only Microsoft and McDonald's were mentioned consistently by respondents across Europe, Asia and North America, and McDonald's was mainly ranked poorly due to negative respondent perceptions about the quality of both its food and service. Companies that ranked highest in each country included L'Oreal in France, Porsche in Germany, Virgin Group in the UK and IKEA in Sweden.⁹⁹



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The fact that there is a payoff for having a good reputation is verified by a study of organizations in the airline industry. Having a good reputation was significantly related to higher levels of performance measures such as return on assets and net profit margin.¹⁰⁰

The notion of legitimacy serves to shed light on an important question for institutional theorists. Why is there so much homogeneity in the forms and practices of established organizations? For example, visit banks, high schools, hospitals, government departments or business firms in a similar industry, in any part of the country, and they will look strikingly similar. On the other hand, when an organizational field is just getting started, such as in e-commerce, diversity is the norm. New organizations fill emerging niches. However, once an industry becomes established, there is an invisible push towards similarity based upon what emerges as a legitimate form of organization within the field. *Isomorphism* is the term used to describe this move towards similarity.

The Institutional View and Organization Design

As a result of pressure to do things in a proper and correct way, the formal structures of many organizations reflect the expectations and values of the environment rather than the demand of work activities. This means that an organization may incorporate positions or activities (equal employment officer, e-commerce division, chief ethics officer) perceived as important by the larger society to increase its legitimacy and survival prospects, even though these elements may decrease efficiency. For example, many if not most small companies set up websites, even though the benefits gained from the site are sometimes outweighed by the costs of maintaining it. Having a website is perceived as essential by the larger society today. The formal structure and design of an organization may not be rational with respect to workflow and products or services, but it will help ensure survival in the larger environment.

Organizations adapt to the environment by signalling their congruence with the demands and expectations stemming from cultural norms, standards set by professional bodies, funding agencies and customers. In this way, they obtain approval, legitimacy and continuing support. The adoption of structures thus might not be linked to actual production requirements, and might occur regardless of whether specific internal problems are solved. The institutional perspective draws attention to how organizational structure may be a product of conformity to established norms and values, rather than a consequence of deliberate planning.¹⁰¹



ONLINE BRIEF 6.4

Institutional Similarity

In striving for legitimacy, many aspects of structure and behaviour may be targeted towards environmental acceptance. Interorganizational relationships thus are characterized by forces that result in organizations in a similar population looking like one another.¹⁰² Exactly how does increasing similarity occur? How are these forces realized? A summary of three mechanisms for institutional adaptation appears in Exhibit 6.4. These three core mechanisms are *mimetic forces*, which result from responses to uncertainty; *coercive forces*, which stem from overtly political influence; and *normative forces*, which result from common training and professionalism.¹⁰³

EXHIBIT 6.4 Three Mechanisms for Institutional Adaptation

	Mimetic	Coercive	Normative
Reason to become similar:	Uncertainty	Dependence	Duty, obligation
Events:	Innovation visibility	Political – law, rules, sanctions	Professionalism – certification, accreditation
Social basis:	Culturally supported	Legal	Moral
Example:	Re-engineering, benchmarking	Pollution controls school regulations	Accounting standards, consultant training

Source: Adapted from W. Richard Scott, *Institutions and Organizations* (Thousand Oaks, CA: Sage, 1995).

Mimetic Forces Most organizations, especially business organizations, face great uncertainty. It is not clear to senior executives exactly what products, services or technologies will achieve desired goals, and sometimes the goals themselves are not clear. In the face of this uncertainty, **mimetic forces**, the pressure to copy or model other organizations, are in operation.

Executives observe an innovation in a firm generally regarded as successful, so the management practice is quickly copied. An example is the proliferation of Wi-Fi hotspots in cafes, hotels and airports. Starbucks was one of the first companies to adopt Wi-Fi, enabling customers to use laptops and handheld computers at Starbucks stores. The practice has rapidly been copied by both large and small companies. Many times, this modelling is done without any clear proof that performance will be improved. Mimetic processes explain why fads and fashions occur in the business world. Once a new idea starts, many organizations grab onto it, sometimes only to learn that the application is difficult and may cause more problems than it solves. The period since 2000 has seen the largest merger and acquisition wave in history, but evidence shows that many of these mergers did not produce the expected financial gains and other benefits. The sheer momentum of the trend was so powerful that many companies chose to merge not because of potential increases in efficiency or profitability but simply because it seemed like the right thing to do, assisted of course by intermediaries (e.g. bank, law firms, accounting firms, etc.) who stood to benefit from mergers regardless of the outcome.¹⁰⁴ Downsizing of the workforce is another trend that can be attributed partly to mimetic forces but also to the gains enjoyed by executives holding stock options. Despite some evidence that massive downsizing actually hurts organizations, managers perceive it as a legitimate and effective means of improving performance or, at least, of raising stock price by sending the desired message to financial markets.¹⁰⁵

Techniques such as outsourcing, re-engineering, Six Sigma quality programmes and the balanced scorecard have all been adopted, often without clear evidence that they improve efficiency or effectiveness. The one certain benefit is that management's feelings of uncertainty will be reduced, and the company's image will be enhanced because the firm is seen as using the latest management techniques. A recent study of 100 organizations confirmed that those companies associated with using popular management techniques were more admired and rated higher in quality of management, even though these organizations often did not reflect higher economic performance.¹⁰⁶ Perhaps the clearest example of official copying is the technique of benchmarking that occurs as part of the total quality movement. *Benchmarking* means identifying which company is best at something in an industry and then duplicating the technique for creating excellence, perhaps even improving it in the process.

The mimetic process works because organizations face continuous high uncertainty, they are aware of innovations occurring in the environment and the innovations are culturally supported, thereby giving legitimacy to adopters. This is a strong mechanism by which a group of banks, or high schools or manufacturing firms, begin to look and act like one another.



Coercive Forces All organizations are subject to pressure, both formal and informal, from government, regulatory agencies and other important organizations in the environment, especially those on which a company is dependent. **Coercive forces** are the external pressures exerted on an organization to adopt structures, techniques or behaviours similar to other organizations. As with other changes, those brought about because of coercive forces may not make the organization more effective, but it will look more effective and will be accepted as legitimate in the environment. Some pressures may have the force of law, such as government mandates to adopt new pollution control equipment. Health and safety regulations may demand that a safety officer be appointed. The European Commission has set rules for product warranty that apply in all member states of the European Union.¹⁰⁷ New regulations and government oversight boards have been set up for the accounting industry following widespread accounting scandals.¹⁰⁸

Coercive pressures may also occur between organizations where there is a power difference, as described in the resource-dependence section earlier in this chapter. Large retailers and manufacturers often insist that certain policies, procedures and techniques be used by their suppliers. When Honda picked Donnelly Corporation to make all the mirrors for its US-manufactured cars, Honda insisted that Donnelly implement an employee empowerment programme. Honda managers believed the partnership could work only if Donnelly learned how to foster collaborative internal relationships.

Organizational changes that result from coercive forces occur when an organization is dependent on another, when there are political factors such as rules, laws and sanctions involved, or when some other contractual or legal basis defines the relationship. Organizations operating under those constraints will adopt changes and relate to one another in a way that increases homogeneity and limits diversity.

Normative Forces The third reason why organizations change, according to the institutional view, is the operation of normative forces. **Normative forces** are pressures to change to achieve standards of professionalism, and to adopt techniques that are considered by the professional community to be up-to-date and effective. Changes may be in any area, such as information technology, accounting requirements, marketing techniques or collaborative relationships with other organizations.

COUNTERPOINT 6.7

'Normative forces' might equally be characterized as institutionalized coercive forces. Their influence is more subtle but no less potent. It might be claimed that normative forces are consensual. But a moment's reflection will reveal that struggles between different groups result in particular norms being established, and which also result in these norms being challenged, defended and changed. Within organizations, 'culture change' programmes are an example of how executives deploy organizational resources to introduce or strengthen particular kinds of values that are intended to have 'normative force'.

Professionals share a body of formal education based on university degrees and professional networks through which ideas are exchanged by consultants and professional leaders. Universities, consulting firms, trade associations and professional training institutions develop norms among professional managers. People are exposed to similar training and standards and adopt shared values, which are implemented in organizations with which they work. Business schools teach finance, marketing and human resource majors that certain techniques are better than others, so using those techniques becomes a standard in the field. In one study, for example, a radio station changed from a functional to a multidivisional structure because a consultant recommended it as a 'higher standard' of doing business. There was no proof that this structure was better, but the

radio station wanted legitimacy and to be perceived as fully professional and up-to-date in its management techniques.

Companies accept normative pressures to become like one another through a sense of obligation or duty to high standards of performance based on professional norms shared by managers and specialists in their respective organizations. These norms are conveyed through professional education and certification and have almost a moral or ethical requirement based on the highest standards accepted by the profession at that time. In some cases, though, normative forces that maintain legitimacy break down, as they have repeatedly in the accounting industry and the financial sector, and coercive forces are applied to shift organizations back towards acceptable standards, or at least to convey the appearance of such a shift in order to restore legitimacy and confidence.



ONLINE BRIEF 6.5

Summary and Interpretation

In established thinking, organizations tend to be regarded as ‘closed systems’ – as autonomous and separate, trying to outdo other companies. In contrast, in more recent, ‘open systems’ thinking, organizations are seen as part of an ecosystem. An organization may span several industries and be positioned in a dense web of relationships with other companies and agencies. Collaboration then comes to be regarded as a weapon in the armoury of competition. Organizations may compete and collaborate at the same time, depending on the location and issue. In this business ecosystem, management includes the development of horizontal relationships with other organizations.

Four perspectives have been developed to explain relationships between organizations. The resource-dependence perspective argues that organizations try to avoid excessive dependence on other organizations. In this view, considerable effort is devoted to controlling the environment to ensure ample resources while maintaining independence; and managers in powerful organizations gain advantage by exploiting the dependence of weaker organizations. In the collaborative-network perspective, organizations welcome collaboration and interdependence with other organizations to enhance value for both. Many executives are changing mindsets away from independence towards collaboration, often with former corporate enemies.

The population-ecology perspective explains why organizational diversity continuously increases with the appearance of new organizations filling niches left open by established companies. This perspective suggests that large companies usually cannot adapt to meet a changing environment; hence, new companies emerge with the appropriate form and skills to serve new needs. Through the process of variation, selection and retention, some organizations survive and grow while others perish. Executives may develop a generalist or specialist strategy to survive in the population of organizations.



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COUNTERPOINT 6.10

The institutional perspective argues that interorganizational relationships are significantly shaped by the quest for legitimacy. Structures and activities are favoured that are perceived as valid, proper and up-to-date by external stakeholders. Techniques are copied with the consequence that organizations begin to look very similar. There are three core mechanisms that explain increasing organizational homogeneity: mimetic forces, which result from responses to uncertainty; coercive forces, which stem from power differences and political influences; and normative forces, which result from common training and professionalism.

The four perspectives offer distinct ways of making sense of organizations which may be adopted by managers to address challenges of change, competition and collaboration. Managers in organizations may be seen to struggle to reduce dependence and vulnerability; to engage in collaborative relationships with others; to capitalize on others’ slowness to adapt by seizing upon openings for new organizations to flourish; and to be enabled and constrained by the requirement to secure legitimacy from the external environment.

KEY CONCEPTS

coercive forces	interorganizational	organizational	resource-dependence
collaborative network	relationships	ecosystem	retention
generalist	legitimacy	organizational form	selection
institutional environment	mimetic forces	population	specialist
institutional perspective	niche	population-ecology	struggle for existence
	normative forces	perspective	variation

Discussion Questions

- 1 The concept of business ecosystems implies that organizations are more interdependent than ever before. From personal experience, do you agree? Explain.
- 2 How do you feel about the prospect of becoming a manager and having to manage a set of relationships with other companies? Discuss.
- 3 Assume you are the manager of a small firm that is dependent on a large computer manufacturing customer. Put yourself in the position of the small firm and describe what actions you would take to survive and succeed.
- 4 Many senior managers today were trained under assumptions of adversarial relationships with other companies. Assuming this to be the case, what are some of the implications and how might these be addressed in the light of the theories presented in this chapter?
- 5 Discuss how the adversarial versus partnership orientations work among students in class. Is there a sense of competition for grades? Is it possible to develop a partnership orientation in which your work depends on others?
- 6 The population-ecology perspective argues that it is desirable to have new organizations emerging and old organizations dying as the environment changes. Do you agree? Why would European countries pass laws to sustain traditional organizations and inhibit the emergence of new ones?
- 7 Explain how the process of variation, selection and retention might explain innovations that take place within an organization.
- 8 Do you believe that legitimacy really motivates a large, powerful organization such as Walmart?
- 9 How does a concern for legitimacy result in organizations becoming more similar over time?
- 10 How do mimetic forces differ from normative forces? Give an example of each.

Chapter 6 Workbook Management Fads

Look up one or two articles on current trends or fads in management. Then, find one or two articles on a management fad from several years ago. Finally, check the internet for information on both the current and previous fads.

Questions

- 1 How were these fads used in organizations? Use real examples from your readings.
- 2 Why do you think the fads were adopted? To what extent were the fads adopted to truly improve productivity and morale versus a concern to appear current in its management techniques compared to the competition?
- 3 Give an example in which a fad did not work as expected. Explain the reason why it did not work.

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Chapter 6 Workshop Ugli Orange Case

- 1 Form groups of three members. One person will be Dr Roland, one person will be Dr Jones and the third person will be an observer.
- 2 Roland and Jones will read only their own roles, but the observer will read both.
- 3 Role-play: Instructor announces, 'I am Mr/Ms Cardoza, the owner of the remaining Ugli oranges. My fruit export firm is based in South America. My country does not have diplomatic relations with your country, although we do have strong trade relations'.

The groups will spend about 10 minutes meeting with the other firm's representative and will decide on a course of action. Be prepared to answer the following questions:

 - a What do you plan to do?
 - b If you want to buy the oranges, what price will you offer?
 - c To whom and how will the oranges be delivered?
- 4 The observers will report the solutions reached. The groups will describe the decision-making process used.
- 5 The instructor will lead a discussion on the exercise addressing the following questions:
 - a Which groups had the most trust? How did that influence behaviour?
 - b Which groups shared more information? Why?
 - c How are trust and disclosure important in negotiations?

Role of 'Dr Jones'

You are Dr John Jones, a biological research scientist employed by a pharmaceutical firm. You have recently developed a synthetic chemical useful for curing and preventing Rudosen. Rudosen is a disease contracted by pregnant women. If not caught in the first four weeks of pregnancy, the disease causes serious brain, eye and ear damage to the unborn child. Recently there has been an outbreak of Rudosen in your state, and several thousand women have contracted the disease. You have found, with volunteer patients, that your recently developed synthetic serum cures Rudosen in its early stages. Unfortunately, the serum is made from the juice of the Ugli orange, which is a very rare fruit. Only a small quantity (approximately 4000) of these oranges were produced last season. No additional Ugli oranges will be available until next season, which will be too late to cure the present Rudosen victims.

You've demonstrated that your synthetic serum is in no way harmful to pregnant women. Consequently, there are no side effects. The Food and Drug Administration has approved production and distribution of the serum as a cure for Rudosen. Unfortunately, the current outbreak was unexpected, and your firm had not planned on having the compound serum available for six months. Your firm holds the patent on the synthetic serum, and it is expected to be a highly profitable product when it is generally available to the public.

You have recently been informed on good evidence that Mr R. H. Cardoza, a South American fruit exporter, is in possession of 3000 Ugli oranges in good condition. If you could obtain the juice of all 3000 you would be able to both cure present victims and provide sufficient inoculation for the remaining pregnant women in the state. No other state currently has a Rudosen threat.

You have recently been informed that Dr P. W. Roland is also urgently seeking Ugli oranges and is also aware of Mr Cardoza's possession of the 3000 available. Dr Roland is employed by a competing pharmaceutical firm. He has been working on biological warfare research for the past several years. There is a great deal of industrial espionage in the pharmaceutical industry. Over the past several years, Dr Roland's firm and yours have sued each other for infringement of patent rights and espionage law violations several times.

You've been authorized by your firm to approach Mr Cardoza to purchase the 3000 Ugli oranges. You have been told he will sell them to the highest bidder. Your firm has authorized you to bid as high as \$250,000 to obtain the juice of the 3000 available oranges.

Role of 'Dr Roland'

You are Dr P. W. Roland. You work as a research biologist for a pharmaceutical firm. The firm is under contract with the government to do research on methods to combat enemy uses of biological warfare.

Recently, several Second World War experimental nerve gas bombs were moved from the United States to a small island just off the US coast in the Pacific. In the process of transporting them, two of the bombs developed a leak. The leak is currently controlled by government scientists, who believe that the gas will permeate the bomb chambers within two weeks. They know of no method of preventing the gas from getting into the atmosphere and spreading to other islands and very likely to the west coast of North America as well. If this occurs, it is likely that several thousand people will incur serious brain damage or die.

You've developed a synthetic vapour that will neutralize the nerve gas if it is injected into the bomb chamber before the gas leaks out. The vapour is made with a chemical taken from the rind of the Ugli orange, a very rare fruit. Unfortunately, only 4000 of these oranges were produced this season.

You've been informed on good evidence that a Mr R. H. Cardoza, a fruit exporter in South America, is in possession of 3000 Ugli oranges. The chemicals from the rinds of all 3000 oranges would be sufficient to neutralize the gas if the vapour is developed and injected efficiently. You have been informed that the rinds of these oranges are in good condition.

You have learned that Dr J. W. Jones is also urgently seeking to purchase Ugli oranges and that he is aware of Mr Cardoza's possession of the 3000 available. Dr Jones works for a firm with which your firm is highly competitive. There is a great deal of industrial espionage in the pharmaceutical industry. Over the years, your firm and Dr Jones's have sued each other for violations of industrial espionage laws and infringement of patent rights several times. Litigation on two suits is still in process.

The federal government has asked your firm for assistance. You've been authorized by your firm to approach Mr Cardoza to purchase 3000 Ugli oranges. You have been told he will sell them to the highest bidder. Your firm has authorized you to bid as high as \$250,000 to obtain the rinds of the oranges.

Before approaching Mr Cardoza, you have decided to talk to Dr Jones to influence him so that he will not prevent you from purchasing the oranges.

By Dr Robert House, University of Toronto.

CASE FOR ANALYSIS 6.1

The Project Laser Beam Multistakeholder Partnership

The date is September 2014. A project regularly described as 'transformational' and 'pioneering' was just concluding after five years. Its stakeholders must now document achievements and lessons learned.

The project – Project Laser Beam or PLB for short – had brought together UN agencies and Fortune 500 companies with governments, NGOs and local companies in Bangladesh and Indonesia. Its

ambition had been to create a sustainable, replicable and scalable public-private partnership model for significantly reducing under-nutrition in children.

The work was spearheaded by five key partners – the **World Food Programme** (WFP, the world's largest humanitarian agency fighting hunger worldwide), Unilever (a major consumer goods company with products sold in over 190 countries), **Royal DSM** (a global science-based company active in health nutrition and materials), the **Global Alliance for Improved Nutrition** (GAIN, a global alliance that supports public-private partnerships to increase access to the missing dietary nutrients necessary for a healthier world) and **Mondelez International Foundation** (formerly Kraft Foods Foundation, aiming to empower families and communities to lead healthier lives).

Accenture Development Partnerships, a unit within Accenture that works with the international development sector, had helped these five partners and the various other partners operating in Indonesia and Bangladesh¹ to make the partnership as effective as possible.² PLB had been launched with great fanfare at the Clinton Global Initiative meeting in New York back in September 2009.

What insights had the partners gained over the past five years of working together?

The magnitude of the challenge on which they had been focused was formidable. GAIN Executive Director Marc Ameringen explained that child under-nutrition is ‘one of the most pressing issues of our time’ leading annually to 3.5 million child deaths and 162 million children with irreversible stunting that severely limits their potential. As Elisabeth Rasmussen, WFP Assistant Executive Director (Partnerships and Governance) put it, ‘These challenges are also why we partnered with companies, governments and other organizations in 2009 to create the bold, pioneering initiative called Project Laser Beam’.

Looking back on the project, Unilever CEO Paul Polman referred to it as a ‘transformational partnership’ because of its multi-sector nature ‘combining the expertise of leading public and private sector players ... on one of the most persistent challenges in our world’. Marc Van Ameringen from GAIN noted that ‘a new approach’ was required, adding that it was imperative to have the local governments work together on a common goal with the private sector, civil society and multilateral organizations. In his words, ‘It is only by embracing the spirit of partnership that malnutrition can be eliminated within our lifetimes’. There was a heavy emphasis on local capacity building and local ownership of initiatives such as high-nutrient school food and home gardening initiatives.

Chris McGrath, Mondelez International Foundation External Affairs VP, spoke about the value of working with others to find and implement innovative solutions so that ‘we will amplify our “listening skills” and surface new voices. Alongside these new voices, we’ll bring together diverse ideas – both big and small – to deliver meaningful change’. Royal DSM, for example, has very specific expertise in micronutrients – vitamins and minerals – that can be added to staple foods; however, as CEO Feike Sijbesma remarked, ‘Many effective nutritional solutions are available, but must be scaled up to reach those in need’ involving, in his words, ‘collaboration and coordination between many parties in the form of transformational partnerships’.

WFP’s Elisabeth Rasmussen noted the importance of ‘investing the time and resources needed for all of us to innovate and learn how we can achieve a world with zero hunger’. As GAIN’s Marc Ameringen observed, his organization had ‘learnt a lot about what makes such partnerships work. Clarity of purpose, well-defined roles and good communication are critical to building trust and enabling joint innovation and action’ He cited ‘coordinated efforts’ in both Indonesia and Bangladesh that ‘built significant momentum to address malnutrition and led to concrete investments on the ground’.

The Scaling Up Nutrition (SUN) Business Network was now poised to carry the results of the project forward to a global scale.

The SUN Business Network website includes reflections on PLB achievements. The importance of further scaling up these achievements through larger platforms and initiatives is emphasized. Reference is also made to the PLB operating efficiency made possible by ‘implementing a decentralized consensus-driven operating model managed by a neutral external third party’, a reference to the capabilities of Accenture Development Partnerships that facilitated

1. **BRAC**, one of the world’s largest international development organizations based in Bangladesh; **Consumer Association of Bangladesh (CAB)**, an NGO dedicated to the protection and promotion of consumers’ rights and interests in the country; **Friendship**, an NGO based in Bangladesh; **GarudaFood**, an Indonesian food and beverage company; **Helen Keller International**, an international non profit organization; **Government of Bangladesh**; **Government of Indonesia**; **JITA**, a joint venture social business of CARE and Danone; **PT Indofood Sukses Makmur**, a major Indonesian company involved in the food industry; **UNICEF**, the United Nations Children’s Fund focused on children and child rights; **WaterAid**, an international non profit organization; and **Yayasan Kegizian untuk Pengembangan Fortifikasi Pangan Indonesia**, an Indonesian nutrition foundation for food fortification.

2. www.accenture.com/ca-en/~media/Accenture/Conversion-Assets/DotCom/Documents/Global/PDF/Strategy_6/Accenture-Laser-Beam-Partnership-Reduce-Child-Under-Nutrition.pdf

relationship-building between organizations that did not typically collaborate effectively.

Case Questions:

- 1 Increasingly managers are faced with challenges far too complex for an organization to resolve singlehandedly. In the case of under-nutrition there are issues related to hunger, issues related to poverty and issues related to climate change, among others. The partners who collaborated on under-nutrition in Project Laser Beam had many differences – in technical expertise, organizational culture, governance structures, incentives, decision-making processes and timelines, etc. Can you identify one or two key insights that this

project offers on managing highly diverse interorganizational relationships?

- 2 This chapter presents four distinctive perspectives on interorganizational relationships – the resource-dependence perspective, the collaborative-network perspective, the population-ecology perspective and the institutional perspective. How would each perspective help you to make sense of the highly diverse interorganizational relationships encompassed by Project Laser Beam?

For further information:

www.un.org/en/zerohunger/pdfs/Project%20Laser%20Beam%20-%20Final%20Report.pdf

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